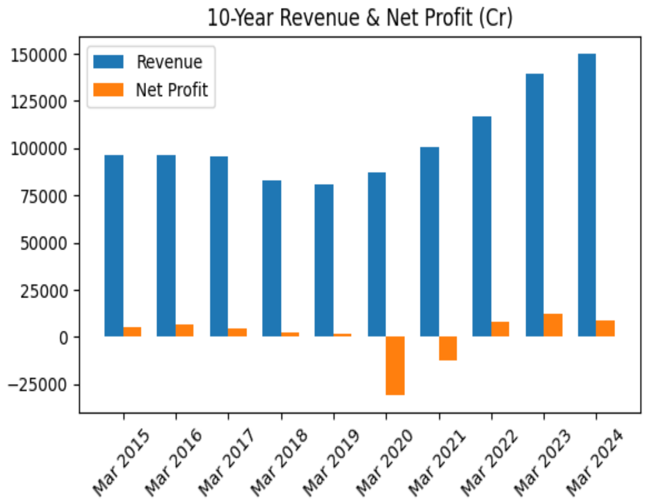
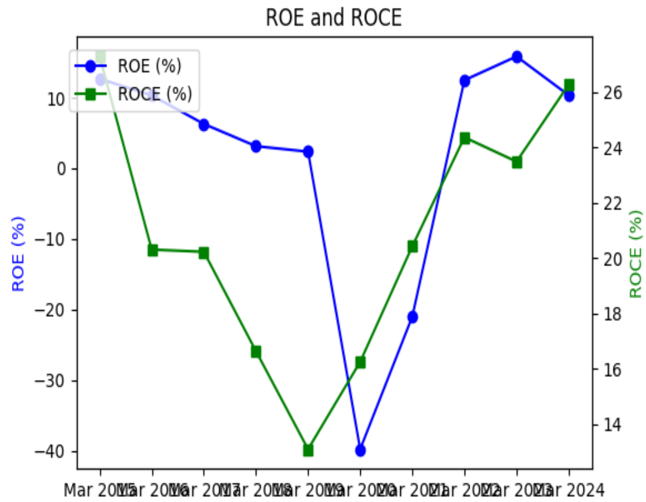
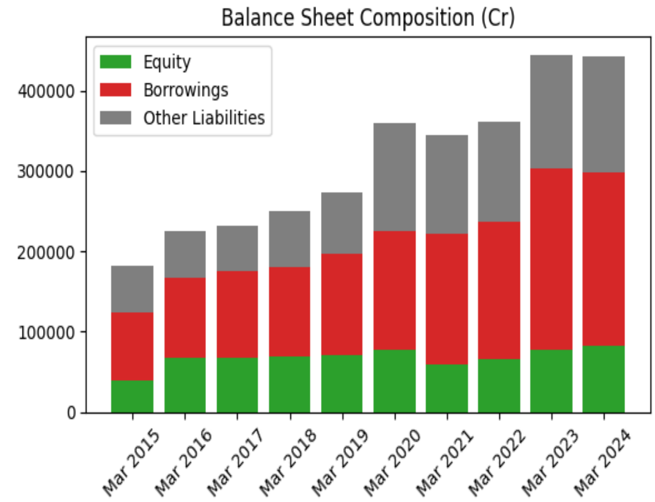
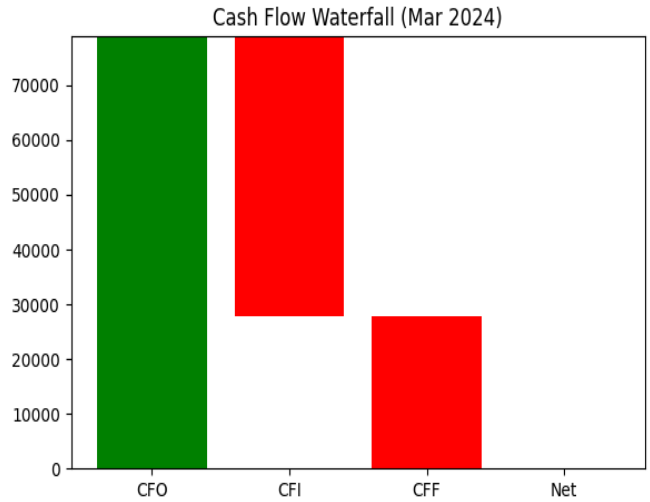
Bharti Airtel Ltd (BHARTIARTL)

Revenue ■155,478 Cr	**Net Profit** ■13,816 Cr	**ROE** 10.4%
ROCE 26.3%	**CFO Quality** High Quality	**Allocation** Shareholder Returns









Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Debt-to-equity ratio of 2.6x is elevated for a non-financial company and warrants monitoring

Capital Allocation Pattern: Shareholder Returns